Client: InvestHK

Optimising family wealth

As it reconnects with the world and introduces tax concessions, Hong Kong is emerging as a leading international centre for family offices.

Hong Kong is set to become the perfect destination for family offices. As the city re-connects with the world after the pandemic, it has proposed a variety of incentives that will create an ideal opportunity for wealthy families to optimise their investment operations.

With an established community of financial services professionals, world-class regulation, liquid markets and preferential access to mainland China, Hong Kong is the premier financial centre in Asia. From equities to fine art and philanthropy, it offers the most complete range of wealth and asset management opportunities.

Proposed changes to its tax regime and a raft of other measures mean there has never been a better time for family offices to establish a presence in this dynamic city.

Proposed tax concession

Hong Kong's government has long recognised the growing importance of family offices within the wealth and asset management industry and is keen to attract more wealthy families to set up and operate investment vehicles in the city.

It aims to attract at least 200 family offices to the city by the end of 2025 through a package of measures, including a proposed tax concession that aims to create tax certainty for family-owned investment holding vehicles managed by single family offices in Hong Kong.

Under the proposal, family offices will be exempt from Hong Kong profits tax on their investment returns.

Requirements to take advantage of the exemption include:

- central management and control of the investment vehicle in Hong Kong;
- at least two employees in Hong Kong;
- at least HK$240 million in assets under management; and
- beneficiaries must belong to the same family.

In addition to the tax exemption, the government is committed to boosting Hong Kong's role as an international asset and wealth management centre through a host of measures aimed at promoting the sector's development.

Global connectivity

Hong Kong has long been a global city. As Covid-related quarantine arrangements and travel restrictions are relaxed, the city is reconnecting with the world and preparing for a strong rebound in growth.

Strategically located at the heart of Asia, it is one of the most convenient destinations for wealthy families with global interests. All the region's major markets are within a four-hour flight and half the world's population can be reached within five hours.

Perched on the Pearl River delta, it is also the gateway to southern China and a bridge between the mainland and international markets. Family offices based in Hong Kong can take advantage of these close ties to access cross-border investment opportunities that are unmatched elsewhere in the region or even the world.

Philanthropy

Hong Kong's wealthy families have a proud history of supporting charitable causes, which has led to the development of a comprehensive infrastructure to support philanthropy and impact investing.

As family offices increasingly embrace philanthropic goals and sustainable investing, Hong Kong is ideally placed to offer the full range of services to support such ambitions. It also has one of the biggest green bond markets in the world.

Support

FamilyOfficeHongKong (FOHK) is a government agency dedicated to helping family offices better understand Hong Kong's landscape and related regulations and initiatives. It also provides professional advice to family office managers or ultra-high-net-worth individuals who are interested in establishing in Asia.

Hong Kong is the ideal destination for family offices and FOHK is here to help.